

and insurance, title insurance, attorney fees, loan origination fees, and so on). Luckily, you have a few options.

One is to go on a crash budget for a few months by cutting your spending to the bare minimum and saving as much cash as possible. Another method is to sock away all the extra money that comes your way: income tax refunds, overtime, bonuses, cash gifts, or—if you're lucky—lottery winnings. You may have a relative who's willing to lend you money, but it's not legal to borrow money for your down payment unless you identify the loan as a debt and can still qualify. Otherwise your lender will require a statement that the money is a gift.



ESSENTIAL

If you're selling a house, use any equity you have in it to apply to the down payment on the new house. Borrowing from your 401(k) may be another option, since you may get additional time to repay the loan, but weigh the decision carefully.
